

**JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE.
JUDICIAL DEPARTMENT**

W.P. No.54614 of 2025

Habib Metropolitan Bank Ltd.

Versus

Shamshad Ahmad Khan, etc.

J U D G M E N T

Date of hearing:	19.01.2026.
Petitioner by:	Mr. Muhammad Riaz, Advocate.
Respondent No.1 by:	Mr. Muhammad Ramzan Chaudhry, Advocate.

MUHAMMAD SAJID MEHMOOD SETHI, J.- Through instant petition, petitioner has called into question the judgment dated 15.07.2025, passed by learned Additional District Judge, Faisalabad, whereby ejectment order alongwith arrears of rent and damages in the sum of Rs.20,00,000/- of the learned Special Judge (Rent), Faisalabad dated 05.09.2024 has been upheld against the petitioner.

2. Facts in brief are that respondent No.1 filed an ejectment petition against the petitioner-bank in respect of the premises comprising the basement, ground floor and 1st to 5th floors of Property No.P-7, Susan Road (Nadeem Tower), Madina Town, Faisalabad. The said premises rented out to the petitioner through written tenancy agreement dated 18.05.2007, at a monthly rent of Rs.3,10,000/-, payable annually in advance, as per the agreed terms and conditions. The said agreement was renewed vide supplementary tenancy agreement dated 29.03.2016. The petitioner contested the ejectment petition by filing application for leave to contest. After framing of issues, recording of evidence and hearing arguments, the learned Special Judge (Rent) vide order dated

05.09.2024, accepted the ejectment petition and in addition to ordering eviction, directed the petitioner to pay rent to respondent No.1 as per tenancy agreement from April, 2020 till the date of eviction, subject to adjustment of payments already made. The learned Special Judge (Rent) also directed payment of profit on the annual rental amount from April 2019 till the date of eviction, and also awarded damages amounting to Rs.20,00,000/-. Being aggrieved, the petitioner filed an appeal which was dismissed by the learned Additional District judge vide judgment dated 15.07.2025. Hence, this petition.

3. Learned counsel for petitioner submits that physical possession was handed over to landlord in April 2020 and there was no justification for the Court to direct recovery of rent after April, 2020. He contends that the learned Special Judge (Rent) has no jurisdiction to grant damages in rent jurisdiction. He further submits that this material fact was overlooked while directing payment of rent and awarding damages.

4. On the other hand, learned counsel for respondent No.1 has supported the impugned order and submits that the issues relating to eviction, rent and ancillary reliefs including damages fall within the jurisdiction of learned Special Judge (Rent).

5. Arguments heard. Record perused.

6. The award of damages amounting to Rs.20,00,000/- calls for serious scrutiny on the touchstone of jurisdiction. It is an axiomatic principle of law that a learned Special Judge (Rent) is a statutory tribunal, not a court of plenary jurisdiction, and is competent to exercise only such powers as are expressly conferred upon it by the governing rent statute or are necessarily incidental thereto. Any assumption of authority beyond the four corners of the statute renders the exercise *coram non jure*. The Punjab Rented Premises Act, 2009 has been enacted with the limited object of regulating the

relationship between landlords and tenants in respect of rented premises. Under Section 12 of the Act, a tenant may seek directions from the learned Special Judge (Rent) for restoration of amenities or utilities and for repair of the premises. Section 15 empowers a landlord to seek eviction of a tenant on specified grounds, including expiry of tenancy, default in payment of rent, breach of the rent agreement, unauthorized use, subletting, or violation of statutory obligations. Section 20 of the Act delineates the disputes cognizable by the learned Special Judge (Rent), including cases where a landlord refuses to accept rent, disputes regarding the rate or amount of rent, adjustment of expenses, and adjustment of *pagri* or security. In addition, the learned Special Judge (Rent) is vested with the authority to determine the existence of the relationship of landlord and tenant, to execute its own orders as a decree of a Civil Court, to pass such interim orders as may be necessary for the purposes of proceedings, and to impose costs or penalties in cases of false or unjustified eviction proceedings in terms of Sections 24, 25, and 31 of the Act. Furthermore, Section 26 confers upon the learned Special Judge (Rent) limited powers of a Civil Court, including the power to summon parties, examine witnesses, inspect premises, and issue commissions for the examination of witnesses or for local inspection. These procedural powers are clearly intended to facilitate the adjudication of matters expressly entrusted to the learned Special Judge (Rent) under the Act. A holistic reading of the statutory scheme unmistakably shows that no provision of the Punjab Rented Premises Act, 2009 authorizes the learned Special Judge (Rent) to assess or award damages of the nature and magnitude awarded in the present case. The grant of damages amounting to Rs. 20,00,000/- neither flows from any express provision of the Act nor can it be regarded as incidental or ancillary to the powers conferred therein. The impugned award, therefore, constitutes an assumption of jurisdiction not vested by

law and is liable to be declared without lawful authority and set aside.

7. A careful examination of the relevant rent legislation reveals no provision empowering the learned Special Judge (Rent) to adjudicate claims for general damages or to award monetary compensation in the nature of tortious or contractual liability. The power to award damages particularly damages of a substantial and un-liquidated nature necessarily involves the adjudication of civil liability, the determination and quantification of loss, and the appraisal of evidence, all of which are functions that lie squarely within the exclusive domain of a competent Civil Court exercising original civil jurisdiction.

8. It is equally well settled that where a statute creates a special forum and prescribes specific remedies, the jurisdiction of that forum cannot be enlarged by implication, equity, or perceived notions of justice. In the absence of an express enabling provision, the grant of damages cannot be sustained on the basis of inherent powers, as statutory tribunals do not possess inherent jurisdiction akin to that of Civil courts. Any order passed in excess of statutory authority is a nullity in the eye of law and is liable to be set aside on this ground alone.

9. In the present case, the learned Special Judge (Rent), by awarding damages of Rs.20,00,000/-, has effectively exercised a jurisdiction vested exclusively in the Civil courts, thereby transgressing the limits imposed by the statute. Such an assumption of power not only undermines the legislative intent behind the rent laws but also offends the settled principle that jurisdiction cannot be conferred by consent, acquiescence, or convenience.

10. The view taken finds authoritative support from the judgments of the Honourable Supreme Court and High Courts. In Muhammad Tariq Khan v. Khawaja Muhammad Jawad Asami and

others (2007 SCMR 818), it was held that a Special Judge (Rent) cannot grant relief not contemplated by the rent restriction legislation. Similarly, in Hafiz Muhammad Ibrar and another v. Additional District Judge, Multan and others (2012 YLR 2471), it was reiterated that claims for damages fall outside the purview of rent proceedings and cannot be adjudicated by a learned Special Judge (Rent). The learned Special Judge (Rent) is required to confine itself strictly to the pleadings of the parties and to the reliefs expressly provided under the statute. The assumption of such authority offends the constitutional principle of trichotomy, under which courts are empowered only to interpret and apply the law as enacted, and not to enlarge their own jurisdiction. The learned Special Judge (Rent), by awarding damages, has clearly exceeded the limits of statutory jurisdiction, and this jurisdictional defect has been perpetuated by the learned Appellate Court by upholding the same. It is a settled principle of law that where the foundational order is without lawful authority, the superstructure raised thereupon must collapse. To this extent, the impugned decisions suffer from a fatal jurisdictional infirmity. Reliance is placed on Muhammad Sarwar v. Zile Huma and another (PLJ 2019 Lahore 202) and Tariq Rafi v. Topgen Healthcare/T.G. Pharma and 2 others (2018 CLC Note 39).

11. So far as the petitioner's plea regarding cessation of rent liability from April 2020 is concerned, a careful examination of the record and the submissions of learned counsel for the parties reveal that the said plea essentially raises a question of fact. The petitioner has failed to place on record any cogent and convincing evidence to establish lawful delivery of vacant possession to respondent No.1 in April 2020. In the absence of any acknowledged possession memo or contemporaneous documentary proof, the concurrent findings of the learned courts below on this aspect do not suffer from any

misreading or non-reading of evidence and, therefore, do not warrant interference in constitutional jurisdiction.

12. In view of the above, instant petition is hereby **partly allowed to the extent of award of damages**. Consequently, impugned order as well as judgment to the extent of award of damages amounting to Rs.20,00,000/- are set aside. Respondent No.1 is at liberty to approach the competent forum for redressal of his grievance regarding the damages, if so advised. No order as to costs.

(Muhammad Sajid Mehmood Sethi)
Judge

Approved for reporting.

Judge

Waseem